

INSURANCE AND PENSIONS COMMISSION



FIRST QUARTER REPORT FOR FUNERAL ASSURERS

FOR THE QUARTER ENDED 31 MARCH 2013

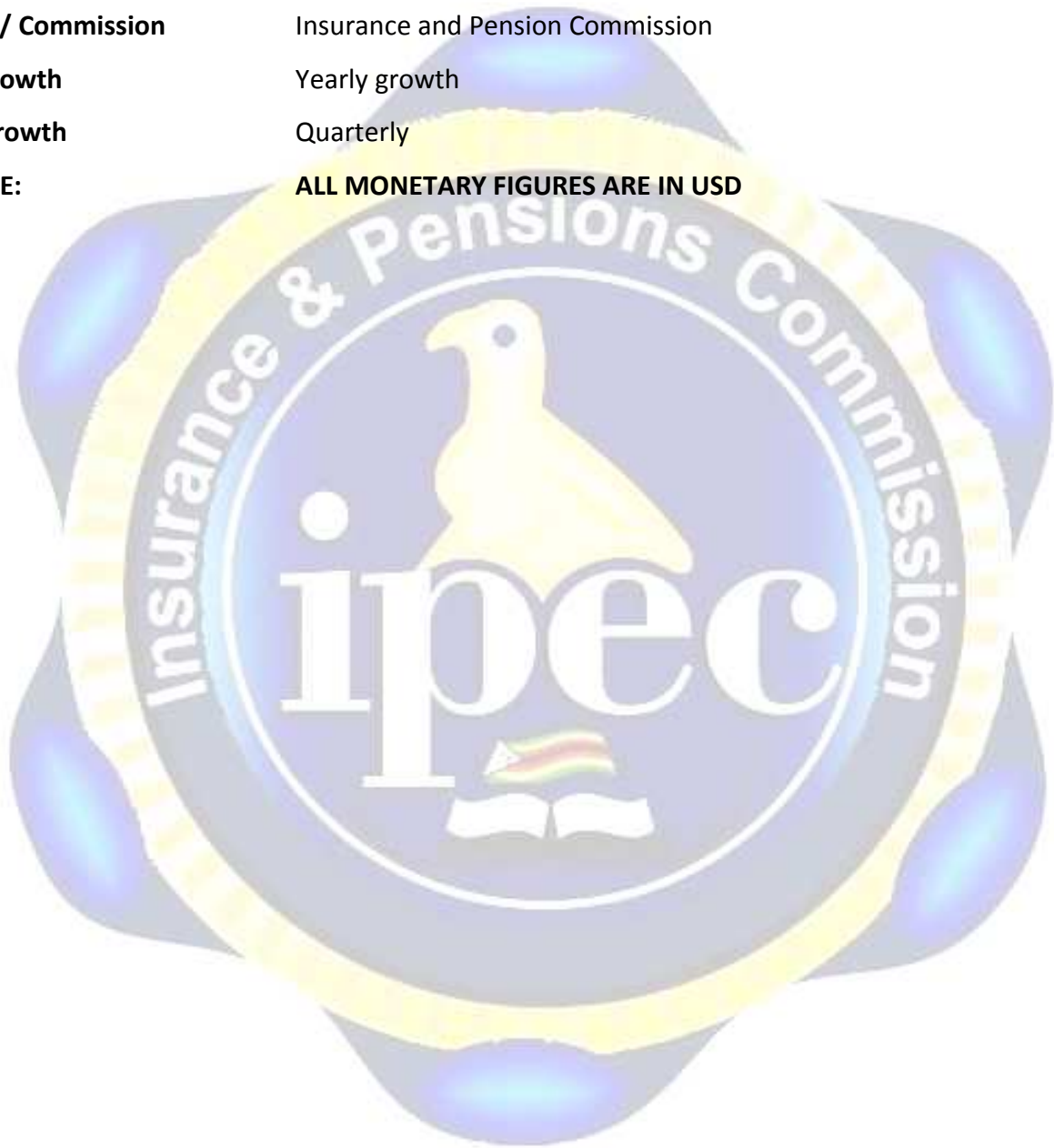
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2.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Yearly growth
Q-Growth	Quarterly

NOTE: ALL MONETARY FIGURES ARE IN USD



3.0 Industry Overview

The report is based on 11 players.

The funeral industry realised \$19million in net premium, a 49% growth from \$12million reported for the comparative period last year. The industry reported an operating profit of \$6million despite a growing combined ratio of 70% exacerbated by increasing operational and claims costs.

Total liabilities doubled the growth of assets which closed the quarter at \$64million from \$40million reported in the equivalent quarter last year. The industry was reportedly adequately capitalized albeit the need to attend to both solvency and liquidity challenges for continued sustenance (See Table 1, below).

Table 1: Summary of Financial Performance by Funeral Assurance Industry

Performance indicator	Funeral Assurers		
	March 2012	March 2013	Growth (%)
Gross Premiums Written(\$000)	12,274	18,741	49%
Net Premiums Written (\$000)	12,274	18,741	49%
Retention Ratio	100%	100%	-
Total Gross Claims (\$000)	2,337	6,524	179%
Total Net Claims (\$000)	2,337	6,524	179%
Management Expenses (\$000)	4,638	5,268	14%
Commissions (\$000)	1,131	1,324	17%
Total Costs(\$000)	8,107	13,116	62%
Technical Profit(000)	4,167	5,625	35%
Claims Ratio	19%	35%	16%
Expense Ratio	46%	52%	6%
Combined Ratio	65%	70%	5%
Total Assets (\$000)	40,282	63,948	59%
Total Liabilities (\$000)	19,013	38,546	103%
Current Assets	-	22,879	-
Liquidity Ratio	-	59%	-
Free Capital(\$000)	21,270	25,402	19%
Capital to liability Ratio	112%	66%	(46%)
Prescribed Assets (\$000)	0	210	-
Prescribed Asset Ratio (%)	0	0	-

4.0 Update on Number of Operational Institutions

This report is based on 11 players.

5.0 Business Written

For the quarter ended 31 March 2013, the industry wrote \$19million in net premiums(March 2012:\$13million).This was a 49% growth from the comparative period last year (See Table 2 below).

Table 2: Net Premium Distribution by Company for the quarter ended 31 December 2012

Name Of Company	March 12 (000)	March 13(000)	Growth
Cell	87	285	228%
Doves	1,036	1,544	49%
Fidelity	647	645	-
First Funeral	899	1,701	89%
Foundation	165	222	35%
Moonlight	2,017	3,212	59%
Nyaradzo	7,231	10,377	44%
Passion	251	376	50%
Ruvimbo	62	111	79%
Sunset	35	70	100%
Vineyard	144	198	38%
Total	12,574	18,741	49%

Further, Table 2 above shows that the top four funeral companies controlled 90% or \$17million of the business written in the quarter(March 2012:90% or \$11million).This indicates an oligopolistic market which is further confirmed by the Herfindal-Hirshman index of 0.3479.

6.0 Business Composition

For the period under review, the funeral industry realized 56% or \$10million worth of premiums in the more vulnerable individual lines business whilst the remainder was corporate business giving a fair portfolio balance though some players entirely depend on the former.

New business proved elusive for the industry as recurring business constituted \$16million or 85% of total gross premiums. This may be a red flag for industry to invest in product innovations coupled with expansive product distribution strategies. Comparative 2012 figures were not available as we changed the return templates effective mid year last year(See Table 3,below).

Table 3: Business Composition by Company for the quarter ended 31 December 2012

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	March 12	March 13	Growth (%)	March 12	March 13	Growth (%)	March 12	March 13	Growth (%)	March 12	March 13	Growth (%)	March 12	March 13	Growth (%)
Cell	-	2	-	-	20	-	-	263	-	-	0	-	87	285	228%
Doves	-		-	-		-	-		-	-		-	1,036	1,544	49%
Fidelity	-	92	-	-	553	-	-	0	-	-	0	-	647	645	-
First Funeral	-	137	-	-	1,564	-	-	0	-	-	0	-	899	1,701	89%
Foundation	-	0	-	-	222	-	-	0	-	-	0	-	165	222	35%
Moonlight	-	1	-	-	1,029	-	-	250	-	-	1,931	-	2,017	3,211	59%
Nyaradzo	-	409	-	-	5,996	-	-	92	-	-	3,880	-	7,231	10,377	44%
Passion	-	19	-	-	113	-	-	14	-	-	231	-	251	377	50%
Ruvimbo	-	0	-	-	11	-	-	0	-	-	100	-	62	111	79%
Sunset	-	0	-	-	70	-	-	0	-	-	0	-	35	70	100%
Vineyard	-	12	-	-	187	-	-	0	-	-	0	-	144	199	38%
TOTAL	-	672	-	-	9,765	-	-	619	-	-	6,142	-	12,574	18,742	49%

7.0 Not-taken Up policies and Lapsed Policies

The first quarter statistics of the current year proved that funeral assurers reported not-taken up policies valued at of \$231 000. This might be a by-product of liquidity challenges on the part of potential policyholders. Further, some funeral companies reported high lapse ratios in excess of 25% which could be a display of unlawful market malpractices such as mis-selling and switching although this was peculiar to a few players only (See Table 4, below).

Table 4: Not-taken Up policies and Lapsed Policies

	Not Taken Up Policies			Lapse Ratios					
	Total Premiums(000)			Individual (%)			Group Bus (%)		
	March 12	March 13	Growth	March 12	March 13	Growth)	March 12	March 13	Growth
Cell	-	0	-	-	0	-	-	0	-
Doves	-	0	-	-	0	-	-	0	-
Fidelity	-	4	-	-	7	-	-	0	-
First Funeral	-	227	-	-	234	-	-	0	-
Foundation	-	0	-	-	253	-	-	0	-
Moonlight	-	9	-	-	20	-	-	11	-
Nyaradzo	-	0	-	-	2	-	-	3	-
Passion	-	0	-	-	0	-	-	0	-
Ruvimbo	-	0	-	-	0	-	-	0	-
Sunset	-	0	-	-	0	-	-	0	-
Vineyard	-	0	-	-	6	-	-	8	-
Total	-	231	-	-	-	-	-	-	-

8.0 Claims Aged Analysis

For the quarter under review, almost the entire claims books were current with a life span of less than 30days.IPEC encourages expeditious settlement of valid claims especially given the generic urgent nature of all funeral claims (See Table 5 below).

Table 5: Claims Aged Analysis

Co.	>30days (\$000)			31-60days (\$000)			61-90days (\$000)			91-120days (\$000)			121days + (\$000)			Reinsurance (\$000)			Totals(\$000)		
	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var
Cell	-	9	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	9	-
Doves	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Fidelity	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
First Funeral	-	6	-	-	3	-	-	0	-	-	0	-	-	0	-	-	0	-	-	9	-
Foundation	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Moonlight	-	1	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	1	-
Nyaradzo	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Passion	-	1	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	1	-
Ruvimbo	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Sunset	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Vineyard	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Total	-	17	-	-	3	-	-	0	-	-	0	-	-	0	-	-	0	-	-	20	-

9.0 Debtor Aged Analysis

For the quarter ended 31 March 2013,funeral companies reported \$2million or 13% of gross premiums in premiums recievables.This is considered acceptable given the current economic challenges. However players are reminded to notify policyholders well in advance of the consequences of not paying premiums and formally cancel policies whenever applicable.Failure to formally notify policyholders on the part of players may legally lead to policyholders expecting payment of full policy obligations (See Table 6,below).

Table 6 : Debtors Aged Analysis

Co.	>30days (000)			31-60days (000)			61-90days (000)			91-120days (000)			121days + (000)			Total(000)		
	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var
Cell	-	3	-	-	4	-	-	4	-	-	3	-	-	6	-	-	20	-
Doves	-	7	-	-	3	-	-	1	-	-	4	-	-	8	-	-	23	-
Fidelity	-	85	-	-	20	-	-	19	-	-	0	-	-	49	-	-	173	-
First Funeral	-	0	-	-	0	-	-	110	-	-	0	-	-	0	-	-	110	-
Foundation	-	3	-	-	2	-	-	2	-	-	1	-	-	2	-	-	10	-
Moonlight	-	26	-	-	19	-	-	19	-	-	15	-	-	39	-	-	118	-
Nyaradzo	-	1,389	-	-	199	-	-	43	-	-	3	-	-	0	-	-	1,634	-
Passion	-	25	-	-	24	-	-	39	-	-	49	-	-	10	-	-	147	-
Ruvimbo	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Sunset	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-	-	0	-
Vineyard	-	49	-	-	84	-	-	28	-	-	14	-	-	39	-	-	214	-
Total	-	1,587	-	-	355	-	-	265	-	-	89	-	-	153	-	-	2,449	-

10.0 Earnings

Funeral assurance companies reported a global claims ratio of 35%(March 2012:19%) and an expense ratio of 52%(March 2012:46%), resulting in a combined ratio of 70% (March 2012:65%).

The top cost drivers were management costs which amounted to \$5million or 40% of total costs and the claims bill which closed the quarter at \$7million or 50% of total costs. Conscious but prudent cost cutting by the industry is critical given the prevailing limited investment returns (see Table 7,below).

Table 7: Key Earnings Indicators By Company for the Quarter ended 31 March 2013

Co. Name	NPW(000)	Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)			Combined Ratio		
	March 13	March 12	March 13	Growth	March 12	March 13	Growth	March 12	March 13	Growth	March 12	March 13	Growth	March 12	March 13	Growth
Cell	285	-	9	-	1	3	200%	185	187	1%	186	199	(75%)	214	70%	(144%)
Doves	1,544	304	424	39%	79	96	22%	52	275	429%	435	795	83%	42	51%	(8%)
Fidelity	645	22	54	145%	118	0	-	221	309	40%	362	363	-	56	56%	-
First Funeral	1,701	141	462	228%	127	370	191%	415	475	14%	683	1,307	91%	76	77%	1%
Foundation	222	21	35	67%	30	24	(20%)	122	146	20%	173	205	18%	105	92%	(13%)
Moonlight	3,212	363	342	(6%)	182	225	24%	1,629	2,066	27%	2,173	2,633	21%	108	82%	(26%)
Nyaradzo	10,377	1,414	5,073	259%	568	582	2%	1,632	1,557	(5%)	3,614	7,212	100%	30	69%	39%
Passion	376	33	61	85%	-	3	-	231	158	(32%)	264	222	(16%)	105	59%	(46%)
Ruvimbo	111	8	31	288%	2	3	50%	57	72	26%	67	106	58%	108	95%	(13%)
Sunset	70	1	0	-	4	2	(50%)	7	20	186%	12	22	83%	8	31%	13%
Vineyard	198	30	33	10%	20	16	(20%)	87	3	(97%)	137	52	(62%)	386	26%	360%
Total	18,741	2,337	6,524	179%	1,131	1,324	17%	4,638	5,268	14%	8,107	13,116	62%	65%	70%	5%

11. Asset Quality

For the current reporting period, industry assets were spread over fixed properties {61% or \$39million, March 2012:\$8million or 20%}, equities {1% or\$0,9million , Dec 2011 :\$0.7million or 3%}, near cash assets {16% or \$9million, December 2011:3% or \$3million} and other assets {29% or \$17million, March 2012:2% or \$0.6million}.Going forward, players **must** be guided by not only thresholds which are in line with Circular 1 of 2013 and actuarial guidance in order to strike the optimum asset-liability balance.

Prescribed Assets – For the quarter under review, there was no new paper floated serve for applications in respect of ZB Bank and Kingstones Holdings which are still under internal due diligence reviews after which IPEC will advise accordingly. As advised earlier, players are required to comply in line with the law (See Table 8, below).

Table 8: Funeral industry Asset bases as at 31 March 2013

Co.	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets (000)			Total Assets (000)		
	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var %	March 12	March 13	Ratio	March 12	March 13	Growth
Cell	-	509	(59%)	13	0	-	514	726	41%	1,174	15	(99%)	-	140	-	0	80	-	1,701	1,470	(14%)
Doves	1,245	8,763	604%	57	0	-	2,390	353	(85%)	177	48	(73%)	6,503	2,277	(65%)	0	0	-	10,372	11,441	10%
Fidelity	125	453	262%	402	765	90%	489	1,120	129%	25	169	576%	670	533	(20%)	0	0	-	1,711	3,040	78%
First Funeral	672	1,085	61%	15	0	-	38	0	-	23	77	235%	1,295	2,337	80%	0	10	-	2,043	3,509	72%
Foundation	1,002	1,292	29%	-	0	-	66	75	14%	85	18	(79%)	69	277	301%	0	10	-	1,222	1,672	37%
Moonlight	2,696	11,540	328%	-	0	-	5,493	0	-	-	75	-	179	659	268%	0	0	-	8,368	12,274	47%
Nyaradzo	1,335	12,824	861%	128	109	(15%)	8,275	2,195	(73%)	1,531	3,082	(101%)	776	7,864	913%	0	100	-	12,045	26,174	117%
Passion	-	300	-	-	0	-	182	25	(82%)	13	3	(77%)	172	475	176%	0	0	-	367	803	119%
Ruvimbo	300	702	134%	-	0	-	664	0	-	254	13	(95%)	5	958	19060%	0	0	-	1,223	1,673	37%
Sunset	320	996	211%	-	0	-	53	0	-	100	6	(94%)	-	37	-	0	0	-	473	1,039	120%
Vineyard	239	410	72%	3	3	-	497	33	(93%)	18	36	100%	-	361	-	0	10	-	757	853	13%
Total	7,934	38,874	390%	618	877	42%	18,661	4,527	(76%)	3,400	3,542	4%	9,669	15,918	65%	0	210	-	40,282	63,948	59%

12. Capitalization, Liquidity and Solvency

Funeral companies were reportedly adequately capitalized in excess of \$400 000 as prescribed by Statutory Instrument 189 of 2009 (See table 6 below). However players must take heed of the impending new capital levels as prescribed in Statutory Instrument 21 of 2013 which are partially due on 30 June 2012.

The industry must also address solvency risk, on a continuous basis, with assistance from their actuaries.

Table 9: Levels of Capitalization,Liquidity and Solvency Indicators for the Quarter ended 31 March 2013

Co.	Total Assets (000)		Total Liabilities (000)			Capital(Net Assets) (000)			Net Premium Written (000)		Current Assets(000)			Capital To Liability Ratio			Capital To Net Premium Ratio (%)			Liquidity(Current) Ratio		
	March 12	March 13	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var	March 12	March 13	Var
Cell	1,702	1,470	82	372	354%	1,620	1,098	(32%)	87	285	-	961	-	1976%	295%	(168 1%)	1862%	385%	(1477 %)	-	258%	-
Doves	10,372	11,441	1,193	1,043	(13%)	9,179	10,398	13%	1,036	1,544	-	2,678	-	769%	997%	228%	886%	673%	(213%)	-	256%	-
Fidelity	1,711	3,040	313	338	8%	1,398	2,702	93%	647	645	-	1,598	-	447%	799%	352%	216%	419%	203%	-	473%	-
First Funeral	2,043	3,509	575	616	7%	1,468	2,893	97%	899	1,701	-	2,424	-	255%	470%	215%	163%	170%	(7%)	-	394%	-
Foundation	1,222	1,672	192	1,035	439%	1,030	637	62%	165	222	-	380	-	536%	62%	(474 %)	624%	287%	23%	-	38%	-
Moonlight	8,368	12,274	4,308	9,395	118%	4,060	2,879	(29%)	2,017	3,212	-	735	-	94%	31%	(63%)	201%	90%	(111%)	-	8%	-
Nyaradzo	12,045	26,174	11,269	24,696	119%	776	1,478	90%	7,231	10,377	-	13,113	-	7%	6%	(1%)	11%	14%	(13%)	-	53%	-
Passion	367	803	880	193	(78%)	(513)	610	19%	251	376	-	264	-	(58%)	316%	374%	(204%)	162%	366%	-	137%	-
Ruvimbo	1,223	1,673	-	538	-	1,223	1,135	(7%)	62	111	-	317	-	-	211%	-	1973%	1023 %	950%	-	59%	-
Sunset	473	1,039	-	45	-	473	994	110%	35	70	-	6	-	-	2209 %	-	1351%	1420 %	69%	-	13%	-
Vineyard	757	853	201	275	37%	556	578	4%	144	198	-	402	-	277%	210%	(67%)	386%	292%	94%	-	146%	-
Total	40,283	63,948	19,013	38,546	103%	21,270	25,402	19%	12,574	18,741	-	22,878	-	112%	66%	(46%)	169%	136%	33%	-	59%	-

Conclusion

The statistics herein shows that the funeral industry is growing .IPEC appeals to players to take advantage of this positive momentum by implementing measures suggested herein for continued sustenance of the industry.